

*Debt-Asset Ratio =*

*Total Assets/*

*Total Debt*

*The second set or the coverage ratios measure the relationship between Proceeds from the operations of the firm and the claims of outsiders.*

*The second set or the coverage ratios measure the relationship between Proceeds from the operations of the firm and the claims of outsiders.*

*(iii) Interest Coverage ratio =*

*Interest*

*Earnings Before Interest and Taxes/ interest*